

Overwhelming evidence shows that few individuals, even professional fund managers, can consistently beat the market. Even if some can, it is impossible to know who they are in advance. Your best bet at investing success is to buy low-cost, passive index funds and to hold them forever to minimize trading fees, management fees, and taxes. When Vanguard founder John Bogle, who introduced index fund investing to the masses, talks about “doing a few things right,” this is what he means.

Bogle sums up the fallacy that you can pick winning stocks succinctly in a quote from his book, *The Little Book of Common Sense Investing*: “Don’t look for the needle in the haystack. Just buy the haystack!” Some argue that Bogle is biased in favor of index funds. Fair enough. So what did Warren Buffett, the most famous investor of this generation, who built a massive fortune picking stocks, write about index investing? Regarding managing his estate after he passes, Mr. Buffett wrote in his *2013 Annual Letter to Berkshire Hathaway Shareholders*, “My advice to the trustee couldn't be more simple: Put 10% of the cash in short-term government bonds and 90% in a very low-cost S&P 500 index fund. (I suggest Vanguard's.) I believe the trust's long-term results from this policy will be superior to those attained by most investors—whether pension